

FAMILY MUTUAL FUND PORTFOLIO REVIEW

1. PORTFOLIO OVERVIEW

A three-member family approached Precision Investments seeking portfolio restructuring advice. The combined family corpus of ₹2,39,38,062 is spread across 28 mutual fund schemes with a total investment of ₹1,28,67,959, generating an absolute return of 86.03% since inception.

Member	Invested	Current Value	Returns
Father	₹78,05,142	₹1,51,08,633	93.57%
Mother	₹27,52,718	₹55,18,639	100.48%
Son	₹23,10,099	₹33,10,790	43.32%
Total	₹1,28,67,959	₹2,39,38,062	86.03%

Goals:

Father and Mother: Generate ₹1.2L per month retirement income

Son: Grow corpus to ₹50L in 4-5 years for business investment

2. KEY FINDINGS

Finding 1 — Father: High Small Cap Funds

37% is Allocated to small cap but it is Recommended to Invest only 10% for a person who is at his Retirement stage, small cap funds can correct 40-50% in a bear market, directly threatening his retirement income plan. Additionally, 7 out of 16 funds are Large Cap or Flexi-cap funds with significant overlap, adding no real diversification benefit.

Recommendation:

It is better to keep 10% as Liquid in Cash by withdrawing from the Multi-Flex Cap and Large Fund and also reinvesting it in Debt Funds

Exit from SBI Flexi-cap, HDFC Flexi-cap, and ABSL Flexi-cap. Retain only Parag Parikh Flexi-cap from the Flexi-cap category. This reduces 16 funds to a more manageable 12-13 funds without losing diversification.

FAMILY MUTUAL FUND PORTFOLIO REVIEW

Finding 2 — Mother: Zero Debt Allocation

Mother's entire corpus of ₹55,18,639 is invested in equity funds with zero allocation to debt instruments. A 30% equity market correction would reduce her corpus by approximately ₹16.5L with no stable buffer.

Recommendation:

It is Risky, Mother Should Reinvest her money in Debt Instrument by Withdrawing 50% of her money from Large Cap and Re-Distributing 30% in Debt and 10% in Gold and 10% Liquid as Cash

Finding 3 — Son: Only Invested in Single Fund

66% of Son's corpus (₹15,20,000 out of ₹23,10,099) is in a single Small Cap fund — HDFC Small cap. While the fund has delivered 49.8% absolute returns, this means when the single fund underperformance can severely can affect his ₹50L target. There is also zero Mid Cap allocation, leaving a significant gap in the equity Market.

Recommendation:

Reduce HDFC Small cap exposure from 66% to 35-40% by stopping further SIP additions to it. Start fresh SIPs in a Mid Cap fund (recommended: HDFC Midcap or Motilal Oswal Midcap) and increase Large Cap index exposure. Target allocation: 30% Large Cap, 25% Mid Cap, 35% Small Cap, 10% Gold.

Feasibility At current corpus of ₹33,10,790, Son needs 11% CAGR over 4 years or 9% CAGR over 5 years to reach ₹50L. This is achievable given his equity-heavy portfolio, but only if market conditions remain favourable.

Recommend adding monthly SIP of ₹10,000-15,000 to reduce dependency on market returns alone.

Finding 4 — SWP Readiness Gap

The combined parent corpus of ₹2,06,27,272 falls short of the ₹2,40,00,000 required to sustain a ₹1.2L/month SWP at 6% withdrawal rate. The current shortfall is ₹33,72,728 — approximately 14% below the required corpus.

FAMILY MUTUAL FUND PORTFOLIO REVIEW

3. SWP IMPLEMENTATION PLAN

Once corpus reaches ₹2,40,00,000, implement SWP as follows:

Fund	Monthly SWP	Rationale
Parag Parikh Flexi-cap	₹40,000	Stable flexi-cap, consistent returns
HDFC Corporate Bond	₹40,000	Debt fund, low volatility
Nippon Nifty AAA PSU Bond	₹40,000	Sovereign backed, safe
Total	₹1,20,000	

4. CONCLUSION

The family portfolio has generated strong absolute returns of 86%, good fund selection. But the current asset allocation is misaligned with retirement goals — both parents are overexposed to equity risk with insufficient debt funds. Immediate rebalancing is recommended, prioritising Mother's debt allocation and Father's small cap reduction. The Son's portfolio requires diversification rather than restructuring, with the ₹50L goal being achievable within the 4-5 year time frame with minor adjustments.

Note: Returns shown are absolute returns since inception. Ideal allocations are based on standard financial planning principles and age-appropriate asset allocation frameworks.

Prepared by : Simaran Shaikh